

US equities rally on earnings strength, yields inch higher

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

The major indices closed sharply higher on Thursday, with the **S&P 500** up **+0.66%** to 7,773.95 and the **Nasdaq 100** gaining **+0.87%** to 31,076.44. Broad-based buying was led by technology and financials, while the VIX rose modestly, reflecting lingering volatility.

Yield pressures persisted as the 10-year Treasury yield climbed to 5.31% (+0.64%). Oil slipped below \$90, and crypto assets retreated, but gold held steady above \$4,150.

US Session Recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,773.95	+0.66%	Broad rally
Dow Jones	51,267.90	+0.18%	Industrial support
Nasdaq 100	31,076.44	+0.87%	Tech-led gain
Russell 2000	2,847.14	+0.50%	Small-cap resilience
VIX	15.52	+1.37%	Volatility uptick
10Y Yield	5.31%	+0.64%	Yield pressure
WTI Crude	88.48	-1.06%	Oil pullback

Top large-cap movers

TICKER	CLOSE	CHANGE
NVDA	238.90	+2.12%
TSLA	378.73	+2.20%
AVGO	362.51	+2.08%
META	741.90	+1.90%
MSFT	525.18	+1.48%

Spotlight

NVDA's Q3 earnings beat expectations, posting revenue of 29.1 billion (+23% YoY) and EPS of 3.45, well above the consensus 3.12. The company reaffirmed its FY2026 guidance, citing strong AI-related demand.

METRIC	RESULT	CONSENSUS
Revenue	29.1 bn	27.8 bn
EPS	3.45	3.12
Guidance FY2026	Revenue +25% YoY	—

Macro & Fed

- Policy rate: 5.25%-5.50% (unchanged)
- 10-year Treasury yield: 5.31% (+0.64%)
- Key data releases (HKT):
 - 09:30 – Existing-home sales (U.S.)
 - 12:00 – Core PCE price index (Q3)
 - 15:30 – Durable goods orders

Geopolitics & global

- Middle-East tensions eased after cease-fire talks, reducing oil-supply risk.
- China's manufacturing PMI slipped to 48.9, signaling continued slowdown.
- Eurozone inflation held at 2.6% YoY, keeping ECB dovish outlook.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
08:00	AMZN	Revenue growth vs. guidance, AWS margin
09:30	GOOGL	Ad spend rebound, AI services revenue
10:15	JPM	Net interest income trend, loan loss provisions
11:00	XOM	Impact of oil price volatility on upstream earnings

Stocks worth watching

- **CRM** – Strong SaaS renewal rates; Q3 beat could spark upside.
- **BAC** – Rising net interest margins as yields climb.
- **DIS** – New streaming bundle rollout; subscriber growth key.
- **UPS** – Freight demand rebounding, cost-inflation balance.
- **NVAX** – Late-stage vaccine trial data expected Friday.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in core PCE inflation above 0.4% MoM.
- Geopolitical escalation in the Middle East reigniting oil price spikes.
- Weak earnings from mega-caps (e.g., AMZN miss) triggering sector sell-off.

BEARISH TRIGGERS

- Better-than-expected durable goods orders boosting industrial demand.
- Continued AI revenue acceleration from NVDA and MSFT.
- Fed signals of a pause or rate cut later in the year.

Sources

SOURCES

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Bloomberg — Nvidia Earnings

Federal Reserve — Monetary Policy

CNBC — Energy Prices

Wall Street Journal — Market Data